Isaac Barnes <isaac@unifiedstategroup.com>

Busan Data Center Korea

Maryan Ali <maryan@unifiedstategroup.com> Fri, Jun 12, 2026 at 11:43 AM
To: Leo LaBranche <Leo@unifiedstategroup.com>, Tyreek Moore <tyreek@unifiedstategroup.com>, Richard Hoffman <richard@unifiedstategroup.com>, Monica Colon <monica@unifiedstategroup.com>, Isaac Barnes <isaac@unifiedstategroup.com>

Hello Leo,

Please find attached the approval for Gate 1, delivering 100 MW ready by February 2029. I understand you'd like to explore an immediate 25 MW option. We can revise the approval to begin with 25 MW in the interim.

Please let me know if you want any changes to the revision. If no adjustments are needed, Ty can proceed with Gate 2 for development activities focused on anchor tenants acquisitions, incentives negotiations, financing strategy, and project execution planning.

Project Bison

Gate 1 Investment Assessment

Recommendation: APPROVE

Project Bison is well positioned to advance through Gate 1 approval.

The project possesses several critical advantages that materially reduce development risk and differentiate it from competing AI data center opportunities globally. Most large scale AI infrastructure projects struggle to secure power, connectivity, water, land, and government support simultaneously. Project Bison has already established a credible path for each of these requirements.

Key project strengths include:

• Identified development site in Busan

• Existing subsea cable connectivity

• Confirmed water availability

• KEPCO commitment for 100 MW power delivery by February 2029

• Strong alignment with Korean national AI infrastructure priorities

• Significant foreign direct investment incentives

• Potential access to Korean project finance debt markets

• Strategic location outside the Seoul metropolitan area

• Supportive regulatory environment through the AI Data Center Promotion Act expected to take full effect in February 2027

Taken together, these factors create a strong foundation for project execution and substantially reduce development risk compared to typical AI data center projects.

Investment Rationale

Infrastructure Readiness

Infrastructure remains the primary reason large scale data center projects fail or experience significant delays.

Project Bison has already addressed the most difficult infrastructure requirements:

• Subsea cable access is available

• Water supply is available

• Site location has been identified

• KEPCO has confirmed a path to 100 MW of utility power by February 2029

Securing these requirements often takes several years. Their availability today provides a meaningful competitive advantage and supports a realistic development timeline.

Government Alignment

Project Bison directly supports Korean national objectives related to:

• Artificial intelligence infrastructure development

• Regional economic growth

• Foreign direct investment

• Data center decentralization outside the Seoul metropolitan region

The recently approved AI Data Center Promotion Act further strengthens the project's strategic importance and is expected to improve regulatory certainty, permitting efficiency, and access to government support programs.

Financing Potential

The project is expected to be highly attractive to Korean lenders once a major U.S. anchor tenant is secured.

A long term commitment from a leading hyperscaler or AI operator would significantly strengthen:

• Debt availability

• Financing terms

• Loan duration

• Overall project bankability

With a qualified anchor tenant, the project should be capable of attracting substantial debt financing from Korean financial institutions and infrastructure lenders.

Incentive Environment

Project Bison appears well positioned to benefit from a broad range of national and local incentives, including:

• Corporate tax incentives

• Cash grants

• Property tax reductions

• Equipment subsidies

• Infrastructure support programs

• Regional investment incentives

These programs have the potential to materially improve project economics and increase overall investment returns.

Risk Assessment

While the project is fundamentally strong, several execution risks remain.

Anchor Tenant Risk

This is the most significant remaining risk.

The project's financing strategy becomes substantially stronger once a leading U.S. hyperscaler or AI operator is secured as an anchor customer.

Mitigation:

• Prioritize anchor tenant engagement immediately

• Secure a Letter of Intent, capacity reservation agreement, or long term lease commitment as early as possible

• Align financing discussions with anchor tenant negotiations

Power Delivery Schedule

The project schedule remains dependent on KEPCO's February 2029 delivery commitment.

Any delay could affect commissioning and revenue commencement.

Mitigation:

• Maintain active engagement with KEPCO

• Establish regular project review meetings

• Evaluate phased energization opportunities if partial capacity becomes available earlier

Capital Formation

A project of this scale requires significant equity investment prior to debt financing.

Mitigation:

• Advance equity and debt discussions in parallel

• Leverage government incentive programs

• Utilize anchor tenant commitments to support financing efforts

Construction Execution

Although the site fundamentals are strong, successful execution will require coordination across multiple construction and infrastructure partners.

Mitigation:

• Select experienced engineering and construction partners early

• Establish clear milestone schedules

• Lock critical procurement activities as soon as financing milestones are achieved

Regulatory Implementation

While the AI Data Center Promotion Act has been approved, detailed implementation rules will continue to develop through 2027.

Mitigation:

• Maintain ongoing engagement with Busan and national government stakeholders

• Participate early in incentive and policy discussions

• Monitor implementing regulations as they are released

Execution Outlook

Assuming site control remains secure, incentive discussions begin immediately, financing activities proceed in parallel, and KEPCO maintains its current schedule, Project Bison has a credible path to operation by February 2029.

2026

• Secure anchor tenant

• Initiate Busan incentive negotiations

• Initiate national incentive negotiations

• Begin lender engagement

2027

• Finalize financing structure

• Complete permitting activities

• Complete project design and procurement

2028

• Execute major construction activities

• Complete utility and network integration

February 2029

• Energize initial 100 MW capacity

• Complete commissioning

• Commence operations and revenue generation

Conclusion

Project Bison represents a highly attractive AI infrastructure investment opportunity with development fundamentals that are significantly stronger than most competing projects.

The combination of subsea connectivity, available water resources, confirmed utility power, favorable government policy, foreign investment incentives, and access to Korean debt financing creates a compelling investment case.

The principal remaining milestone is securing a high quality U.S. anchor tenant. Once achieved, the project should be positioned as a financeable, nationally significant AI infrastructure asset with a clear path toward operation and long term value creation.

Gate 1 Recommendation

APPROVE

Best regards,

Maryan Ali | Founding Partner
www.unifiedstategroup.com
UNIFIED STATE GROUP

Project_Bison_FDI_Incentives.pdf
108K